SYRIA SILICON

Staged Development Project

USD 105M · Al-Qaryatayn Industrial Silica · Investor Summary

Financial basis V6 — supersedes all prior financial materials

5 July 2026 · Confidential — for evaluation under confidentiality agreement

1. The opportunity

Syria Silicon holds the Al-Qaryatayn industrial silica sand deposit in Homs Governorate, Syrian Arab Republic: approximately 100 million tonnes indicated-equivalent in Block I (source study 114–125 Mt in-situ), with a best tested sample of 99.4% SiO_2 across 17 independent ALS Arabia analyses (range 95.6–99.4%, mean approximately 98%) and low iron content (Fe_2O_3 0.05–0.14%). An operating Memorandum of Understanding is in place with the Syrian Ministry of Energy on the basis of mining approval. Logistics are unusually strong for a Syrian project: roughly 100 km from mine to the Hassia industrial zone and 215 km to the Mediterranean port of Tartus, with a parallel rail alignment.

The development plan is a three-stage, USD 105M pathway in which capital is committed by gate, not in advance. Each stage is a viable end-state; each unlocks the next.

2. The three stages

Stage	Scope	Capital	Output	Market
1 · Years 1–3	Mining, water wash, dry, pack at Hassia	USD 25M	Washed industrial silica sand	Syrian construction and reconstruction; regional export
2 · Years 4–6	Capacity expansion to ~1 Mtpa plus acid leach and magnetic separation	USD 25M	Glass-grade silica at higher purity (subject to metallurgical confirmation)	International export: glass, solar glass, foundry
3 · Year 7+	Thermal calcination	USD 55M	High-purity quartz targeting solar-grade, pathway toward semiconductor-grade (subject to metallurgical confirmation)	High-value specialty export

Stage gates: Stage 1 cash flow and JORC verification unlock Stage 2; Stage 2 product qualification and confirmed metallurgical response unlock Stage 3. Stage 3 is excluded from base-case returns below and carried as upside only.

3. Market and pricing basis

Pricing is anchored to two independent sources. Direct guidance from Bruce Maluish, Managing Director of VRX Silica (ASX:VRX), places washed silica for glass markets in surrounding countries at USD 35–45 per tonne FOB and 4N solar-glass sand at USD 50–60 per tonne FOB. The company's independent market study corroborates a USD 40–120 per tonne band for high-purity silica sand. The base case uses USD 40 per tonne for washed product and a transparently derived blended price of approximately USD 63 per tonne for glass-grade output (40% container glass at $52, 30% solar glass at $55, 30% foundry and specialty at $85).

4. Financial summary (Model V6)

All figures below are computed in the accompanying Excel model (330 formulas, validated error-free), 100% equity, ungeared, 3% ad-valorem royalty, 10% corporate tax on profit.

Measure	Stage 1 standalone (USD 25M)	Stages 1+2 consolidated (USD 50M)
Plateau production	450 kt/yr washed	1,000 kt/yr (40% glass-grade)
Plateau revenue	≈ USD 18M/yr	≈ USD 49M/yr

Plateau EBITDA	≈ USD 7M/yr	≈ USD 21.5M/yr (~44% margin)
IRR (ungeared)	18.9%	21.1%
NPV @ 10%	+USD 11.6M	+USD 23.7M
Cumulative cash-positive	Year 6	Year 7

Capital bridge. The USD 25M + 25M figures are commitment envelopes: a June 2026 bottom-up build of direct capital for Stages 1 and 2 totals approximately USD 39M (including a self-managed extraction fleet), to which contingency of ~12%, owner's costs and first fills, and initial working capital are added to reach USD 50M. Stage-level splits of direct capital will be firmed with vendor quotes. Stage 3's USD 55M remains an envelope pending metallurgical test work.

5. What changed in V6 — and why it matters

This basis replaces all earlier financial materials. The changes were made deliberately, so that every number in this document survives due diligence:

- Royalty corrected to the agreed 3% ad-valorem (benchmarked to Saudi and Turkish practice); an earlier $2.00/t line implied 4.4–5.7%.
- Stage 2 pricing rebuilt as a transparent product-mix stack anchored to named sources, replacing an unsupported $180/t blended figure.
- Tax basis updated to Syria's 2026 industrial rate of 10% on profit, replacing legacy 30%-of-revenue lines.
- An earlier smelter feasibility study is superseded in full; none of its figures appear anywhere in this pack.

6. Partnership structure

Syria Silicon invites proposals across six lanes — development capital, EPC and technical delivery, mining operation, offtake, logistics, or a fully integrated mine-to-market structure — individually or combined. The realistic base case at project outset is equity: with no external collateral to pledge, conventional secured debt is unavailable at the start, while equipment leasing, offtaker advances, and royalty or streaming finance become available as the project de-risks. Commercial terms, including equity levels, are agreed by mutual agreement.

7. Risks and pending confirmations

- Legal: enacted basis of Syria's mining royalty; the 10% industrial tax as finalised law.
- Technical: Stage 2 vendor quotes (acid leach, magnetic separation); Stage 3 metallurgical test work; JORC verification (planned during Stage 1).
- Market: realised prices and export logistics; Syrian operating environment; sanctions, banking and compliance pathways for the chosen partner.

The model carries these visibly: every unconfirmed input is flagged in the workbook, and Stage 3 revenue is excluded from base returns.

8. Disclaimer

This document has been prepared by Syria Silicon for evaluation purposes under confidentiality. It does not constitute an offer to sell or a solicitation to purchase any securities. Estimates and projections reflect stated assumptions and pending confirmations, and actual outcomes may differ materially. Recipients should conduct independent due diligence.